

Defying the SLOWDOWN

As the India Story lures investors once again, key ministries in the UPA Government unleash a slew of offerings to boost Foreign Direct Investment.

By Nivedita Mukherjee

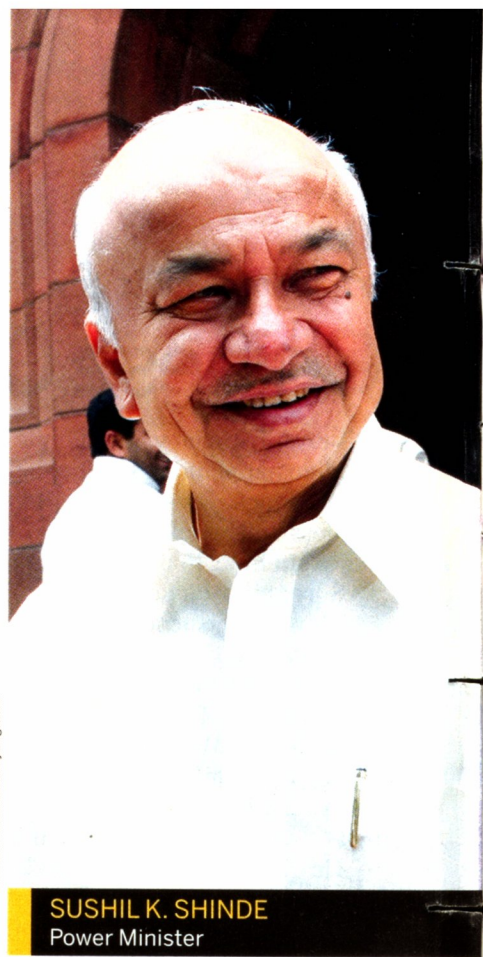
Not so long ago, in the 90s total Foreign Direct Investment (FDI) into India would fit a single-digit entry log. Indeed, the oft-repeated joke those days was that India's FDI was less than the total budget of the Harvard University. But by 1998, the India Story had begun attracting an audience but even then it got less than 10 per cent of the global FDI, or \$11 billion compared to \$208 billion raised by China. You could say those were the beginnings of renaissance, particularly for a country where self-reliance was the reigning mantra and 'swadeshi' the political slogan.

A good 10 years later, the Westside story has gone desi. India's FDI inflows have touched \$42 billion in 2008-09, an 11 per cent rise over the previous fiscal. The \$2-2.5 billion India struggled to get in the 1980s has become a monthly bonanza with the country receiving FDI worth \$2.1 billion in May and \$2.58 billion in June alone. Call it an improving global sentiment or peg

it on a slew of reforms ushering in liberal investment policies, fact is, as FICCI Secretary General Amit Mitra puts it, India is the flavour of the world in a very substantive way. Ranked third in global FDI this year, despite the economic meltdown, it is being seen among the top five investors' destinations during the next two years, according to UNCTAD's World Investment Prospects Survey 2009-2011. Finance Minister Pranab Mukherjee agrees, "As most developed economies were expected to contract by over 2 per cent, India, with an expected growth rate of nearly 7 per cent, would be able to attract foreign investment."

Yet, India cannot afford to rest on its two-digit success. For the first time the Government has turned pro-active and is initiating measures to attract inflows. Ministries are coordinating with investor countries and companies to present investment opportunities across sectors.

For the first time the Government has formed a non-profit company, Invest India, in collaboration with in-



SUSHIL K. SHINDE
Power Minister

New opportunities in areas like the national electricity grid and 100 per cent FDI in upcoming mega power projects are being offered to attract \$300 bn.

dustry body FICCI and state governments in order to attract foreign investment with a focus on small and medium companies. "India has to be projected as an ideal investment destination for foreign investors to attract FDI as well," says Anand Sharma, commerce and industry minister. Size matters but scale, the government feels, can be an aggregation of investors. According to Mitra, Invest India is all geared up to bridge the information gap for small and medium foreign investors through its website with detailed knowledge about the policy framework that they seek. It would even filter data from the states relating to land and power availability. The company would then guide investors through decisions like

THE GOVERNMENT'S ENTHUSIASM IS fuelled by the surge in FDI from less than \$10 bn in the nineties to \$42 bn in 2008-09.